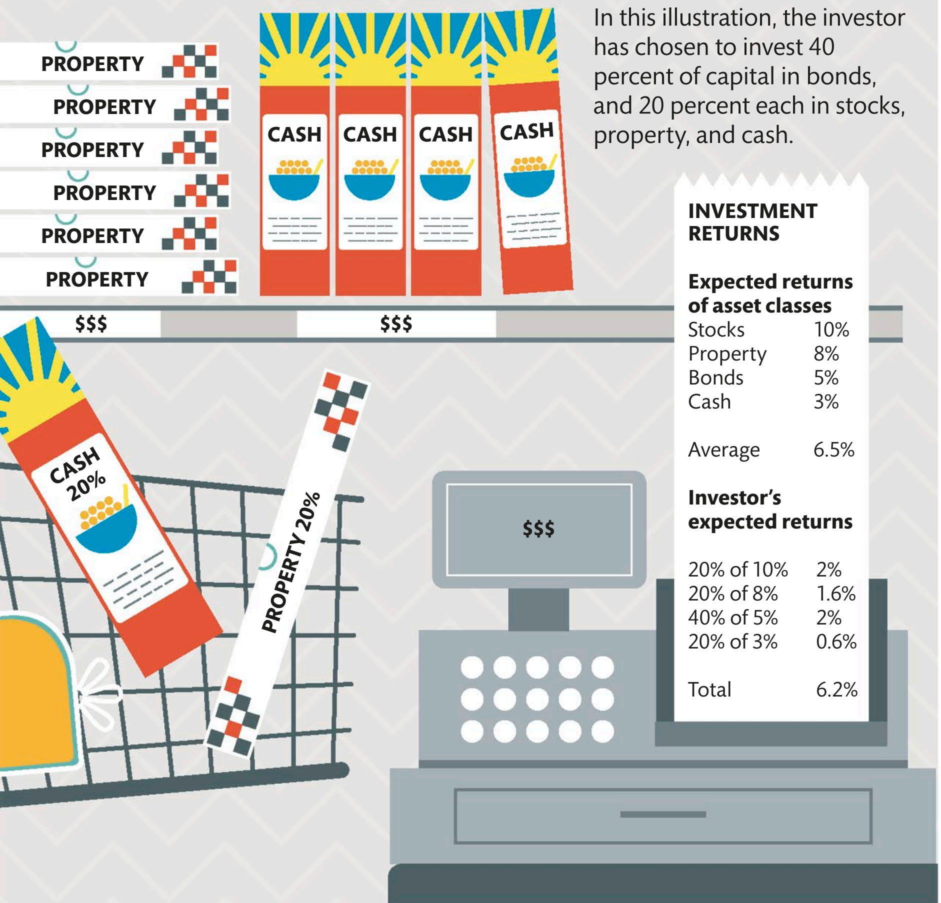
How it works

Asset classes are different categories of investment. Investors diversify by investing in different asset classes, or investing in different companies, industries, markets, regions, or countries, within an asset class. Another strategy, known as asset allocation, attempts to balance risk versus reward by setting the percentage of each asset class in an investment portfolio—stocks, bonds, property, cash, and alternative assets—according to the investor's risk tolerance, goals, and investment time frame. The percentage of a particular holding in a portfolio is known as the "portfolio weighting." Diversification helps reduce the risk of each asset class in the portfolio.

Defensive investment

In this illustration, the investor has chosen to invest 40 percent of capital in bonds, and 20 percent each in stocks, property, and cash.



Liquidity

This term describes the degree to which an asset or security can be bought or sold in the market without affecting the asset's price.

> "Have a strategic asset allocation mix that assumes you don't know what the future holds."
>
> Ray Dalio

ASSET ALLOCATION MODELS

- **Defensive** A small proportion of equities (stocks and shares) with the bulk of the capital invested in less volatile asset classes such as bonds and cash.
- **Income** Most of the investment is in bonds and alternative assets. This model is designed for income-seeking investors willing to take on a reasonable degree of risk
- **Income and growth** Around half of the fund is in equities, with the remainder in bonds and alternative assets. This model focuses on a return composed of both capital growth and income.
- **Growth** Most of the investment is in equities, but some in bonds and alternative assets. This model aims for longer-term capital growth.